

FEDERAL MARITIME COMMISSION

Office of Administrative Law Judges

PELTON INTERACTIVE, INC., *Complainant*

v.

FLEXPORT INTERNATIONAL LLC, *Respondent*.

DOCKET NO. 24-19

Served: May 9, 2025

ORDER OF: Linda S. Harris CROVELLA, *Administrative Law Judge*.

ORDER ON MOTION TO QUASH

I. Background

On March 17, 2025, Zim Integrated Shipping Services Ltd. (“Zim”) filed a nonparty motion to quash (“Motion”) the subpoena duces tecum served on it by Complainant Peloton Interactive, Inc. Zim asserts that its agent was served with an unsigned subpoena¹ by Peloton, on or about March 6, 2025. The subpoena seeks:

(i) all documents reflecting non-privileged communications (internal and external) with Flexport in connection with Peloton shipments and/or Demurrage and Detention charges in connection with Peloton shipments, including the movement of Peloton Shipments from January 1, 2020 to present; and (ii) all documents and records in connection with the Peloton Shipments, including all contracts for ocean transportation and/or contracts of affreightment, bills of lading and/or sea waybills, invoices, work orders, delivery orders, waiver or extension requests and responses, and payment records from January 1, 2020 to present. Subpoena at 7. The Subpoena provides a list of 656 relevant shipments as an Exhibit A.

Motion at 1-2.²

Zim moves to quash the subpoena because it is overbroad and unduly burdensome to it, or alternatively, it seeks to have the subpoena “modified so that it applies only to documents that Peloton can demonstrate are not available to Flexport.” Motion at 3-4. It relies on an order on motion to compel in asserting that the Commission “adheres to the principle that third parties cannot be required to provide information that is substantially similar to the kind of information

¹ In the future, Peloton should serve signed copies of subpoenas.

² No page numbers were included in the motion so they have been added as they should have appeared.

that a party could locate itself.” *Id.* at 3, citing, *Intermodal Motor Carriers Conference, American Trucking Associations, Inc. v. Ocean Carrier Equipment Management Association Inc.*, Docket No. 20-14, 2021 WL 2334223 at *3 (ALJ June 1, 2021); also see, *Amini Innovation Corp. v. McFerran Home Furnishings, Inc.*, 300 F.R.D. 406, 410 (C.D. Cal. 2014); *Arthrex, Inc. v. Parcus Medical, LLC*, 2011 WL 6415540, at *6 (S.D.Ind. 2011). Zim further argues that Peloton’s complaint “does not identify the number of shipments at issue or the amount of allegedly unlawful demurrage or detention assessed by Flexport.” *Id.* at 4. However, Exhibit A to the Zim subpoena identifies what Zim refers to in its motion as 656 shipments “purportedly transported by Zim for Flexport.” *Id.* Finally, Zim reserves the right to file a motion for a protective order should it be ordered to produce any documents that contain confidential information. Motion at 4-5.

Peloton opposes the motion to quash, arguing that Rule 141 allows it to “obtain discovery on any non-privileged matter relevant to its claim from a non-party;” Zim does not deny that it has the documents or that Peloton is entitled to them; and while it agrees that “to the extent the documents are in Flexport’s possession,” Flexport has not provided them and “Peloton timely issued this non-party subpoena so that it could urgently gain access to these relevant documents....” Opposition at 3-4. Peloton further asserts that Zim has not provided the “specific detailed information regarding the costs and burden of a search” (emphasis omitted) relying on *Samsung Electronics America, Inc. v. SM Line Corp.*, Docket No. 23-01, 2024 WL 402470, at *4 (ALJ Jan. 24, 2024) (in an order on discovery motions, corporate information was found to be overbroad and the subpoena was modified, but as to the remaining items “in the era of electronic recordkeeping systems and searchable email, the argument that a request identifying the relevant time period and specific parties is overly burdensome – without more detailed information about why [the non-party] could not efficiently search for such information or what the costs and burdens of such a search would be – does not stand up.”).

II. Discussion

Commission rules allow subpoenas to be issued to nonparties: “*Nonparties.* By subpoena under subpart I of this part, a nonparty may be compelled to produce documents and tangible things or to permit an inspection.” 46 C.F.R. § 502.146(c). In addition, Commission rules provide for motions to quash or modify subpoenas. 46 C.F.R. § 502.132. However, the rules do not provide criteria for evaluating such motions. In the absence of a Commission rule, the Federal Rules of Civil Procedure (“FRCP”) will be followed if “consistent with sound administrative practice.” 46 C.F.R. § 502.12. Zim asserts that FRCP 45(d)(3) applies because compliance would require it to provide privileged or protected matter and create undue burden:

(3) Quashing or Modifying a Subpoena

(A) When Required. On timely motion, the court for the district where compliance is required must quash or modify a subpoena that:

...

(iii) requires disclosure of privileged or other protected matter, if no exception or waiver applies; or

(iv) subjects a person to undue burden.

FRCP 45(d)(3). What amounts to undue burden, which is Zim's primary argument, is discussed in caselaw; other than mentioning it as a basis for moving to quash or modify and for a potential protective order, Zim does not present an argument regarding the disclosure of privileged or protected matter.

"The burden of proving that a subpoena imposes an undue burden or requires disclosure of confidential information is on the person seeking to have it quashed." *Rocky Mountain Medical Management, LLC v. LHP Hosp. Group, Inc.*, 2013 WL 6446704, at * 2 (D.D.Idaho 2019) (citing *9A Fed. Prac. & Proc. Civ.* § 2459 (3d ed.2013), other cites omitted). "However, the party issuing the subpoena must demonstrate, in turn, that the information sought is relevant and material to the allegations and claims at issue in the proceedings." *Id.*, citing *Green v. Baca*, 226 F.R.D. 624, 654 (C.D. Cal.2005) and *United States v. American Optical Co.*, 39 F.R.D. 580, 583 (N.D. Cal. 1966). "In all controverted cases, it is up to the court to strike a balance among the degree of relevance of the requested material, the severity of the burden on the subpoenaed person or entity, and the utility of the protective mechanisms provided by the Federal Rules." *Rocky Mountain Medical Management, supra* at *2 (citing *9A Fed. Prac. & Proc. Civ.* § 2459 (3d ed.2013)).

In determining whether an undue burden exists the court may consider: (1) the relevance of the information requested; (2) the need of the party requesting the documents; (3) the breadth of the discovery request; (4) the time period covered by the request; (5) the particularity with which the requesting party has described the requested documents; and (6) the burden imposed.

Rocky Mountain Medical Management, at *3 (internal citations omitted). And "when balancing the hardships between requesting party and nonparty, court should consider whether there are other sources for obtaining the material" *Id.* (citing *Brown v. City of Syracuse*, 648 F.Supp.2d 461, 466 (N.D.N.Y. 2009)).

Peloton has not provided support for or attempted to modify the dates of its request for documents and communications from January 1, 2020, to present. Based on its claims for reparations and deficient invoicing, the relevant dates of its shipments at issue occurred in a smaller timeframe - those invoiced in May 2021 until the end of its shipping relationship with Flexport in December 2022. Exhibit A, attached to the Zim subpoena and meant to show for what shipments Peloton seeks documents and communications, includes columns for the year and month in which invoices were issued, but it is not in chronological order based on any of the numeric columns, nor does it appear to be sortable to find the relevant shipments. While Zim likely has a computerized system by which it can find and sort shipments by date, as well as searchable email communications, the subpoena request is overbroad for the period sought, not for lack of specificity in identifying shipments. See *Samsung Electronics America, Inc. v. SM Line Corporation*, 204 WL 402470, *4 (ALJ Jan. 24, 2024) (Order Regarding Discovery Motions, where the ALJ found that it is not burdensome for a corporation in this electronic age to search databases and email when the dates and shipments are specified). Moreover, the relevant time frame of the shipments at issue has already been argued and decided in a March 25, 2025 video conference and memorialized in a March 26, 2025 Memorandum Order on Motion for

Protective Order, Ceases and Desist Remedy, and Motion to Compel (“Memorandum Order”). Memorandum Order at 1. Peloton did not seek to modify its subpoena to Zim to conform with these dates.

Zim does not assert nor specify that the burden of complying with the subpoena (for the relevant time period) is excessively costly or even time-consuming; rather, it argues that “[a]ll or virtually all”³ the documents “should also be available from Flexport via the discovery process.” Motion at 4. Peloton acknowledges this, noting that it has an outstanding motion to compel⁴ Flexport to produce documents, but that it needed to “urgently gain access to these relevant documents during the deposition phase of the case....” Opposition at 4. Zim cites several cases that discuss courts not burdening a nonparty with discovery that can be obtained from a litigating party. *See Amini Innovation Corp. v. McFerran Home Furnishings, Inc.*, 300 FRD 406, 410 (C.D. Cal. 2014) (“Courts are particularly reluctant to require a non-party to provide discovery that can be produced by a party.”); *Rocky Mountain Medical Management.*, *supra* at *4 (“non-parties should not be burdened with the annoyance and expense of producing the documents sought unless the requesting party is unable to discover them from a party”) (internal citations omitted); *Arthrex, Inc. v. Parcus Medical*, 2011 WL 6415540 at *6 (S.D. Ind. 2011) (“A party’s ability to obtain documents from a source with which it is litigating is a good reason to forbid it from burdening a non-party with production of those same documents.”) (internal citations omitted); *Intermodal Motor Carriers Conference, American Trucking Associations, Inc. v. Ocean Carrier Equipment Management Association Inc.*, Docket No. 20-14, 2021 WL 2334223 at *4-*7 (ALJ June 1, 2021) (Order on Complainant’s Motion to Compel finding that a non-party cannot be required to provide relevant, but confidential commercial information such as market data analyses if they or another litigant can perform their own or hire experts to do it, but can be required to provide historical factual data under a protective order when that data is not available elsewhere). Peloton did not discuss or distinguish these cases, choosing to focus its opposition on Zim’s failure to specify costs of producing the subpoenaed information. No authority has been cited or found that says expediency is a valid consideration in balancing whether a nonparty should be made to provide documents and communications that are available from a litigant through discovery.

The parties to the underlying litigation have motions to compel pending before the undersigned, and those motions include the documents and communications Peloton seeks through the subpoena issued to Zim. Moreover, a Memorandum Order issued that specified a relevant period for which Flexport must provide documents and communications. Accordingly, while the subpoenaed documents and communications at issue are sufficiently described and are

³ Peloton interprets this statement to mean that not all the requested documents are in Flexport’s possession, underscoring the necessity of obtaining them from Zim. I interpret it to mean that Zim is being cautious by saying it cannot possibly know if Flexport has “all” of the documents. Zim also qualifies the statement by adding, “to the extent they may exist.” Motion at 4. If there are documents that would be available only through the nonparty, Peloton has not sufficiently explained what those could be. As to the communications between Zim and Flexport, all of those can be obtained from Flexport.

⁴ Both Flexport and Peloton have outstanding motions to compel which have been mostly resolved; the remaining items will be addressed under separate order.

relevant, the time frame requested is overbroad and the subpoenaed items are available through Flexport without burdening a nonparty.

III. Order

ORDERED that Third Party Zim's Motion to Quash Peloton Interactive's Subpoena Duces Tecum is **GRANTED**.



Linda S. Harris Crovella
Administrative Law Judge